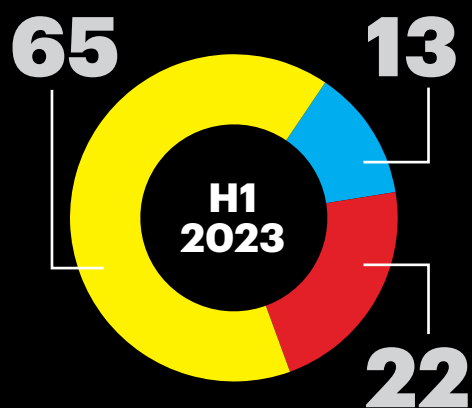
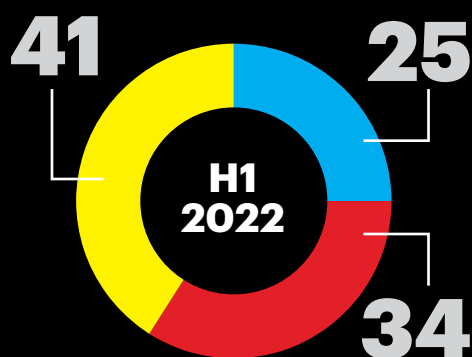


## PREMIUM PLAY

- ▶ Rising demand for larger homes, coupled with a steep rise in the cost of construction, is increasing average home prices
- ▶ Homes priced over ₹1 crore now account for nearly two-thirds of the units sold in the Delhi-NCR market



- PRICED LESS THAN ₹50 LAKH
- PRICED BETWEEN ₹50 LAKH AND ₹1 CRORE
- PRICED ABOVE ₹1 CRORE

FIGURES INDICATE SALES IN PER CENT  
SOURCE KNIGHT FRANK RESEARCH

To ride this tide of rising demand and surging prices, leading players like Tata Housing from Mumbai, and Bengaluru-based Prestige Estates Projects are also betting big on Delhi-NCR. Mumbai-based Tata Housing, for instance, is coming up with nine new projects worth ₹11,000 crore, of which a significant portion is marked for the NCR market. Separately, Prestige's Chairman and MD Irfan Razack says they're also entering the NCR market through a project in Sector 150, Noida.

## THE WAY AHEAD

The NCR market may have revived thanks to the development boom in certain pockets, but challenges remain. Learning from past experience, players are treading with caution. "The potential for downturns exists; past lessons inform caution. Future growth hinges on stable policies, infrastructure [development], and market adaptability," says Aggarwal of Signature.

His concerns are not unfounded. Mudassir Zaidi, Executive Director-North at Knight Frank India, says the downturn that began about a decade ago has some important lessons. Due to the lack of sufficient regulations, developers were able to divert funds into other projects. "But this stretched them too thin." And when one key project got stuck, other projects stalled too. "Then banks stopped lending to them, and they had to borrow from NBFCs that charged interest rates as high as 24 per cent per annum, resulting in more financial distress. It was like a vicious cycle," he explains.

The implementation of RERA and demonetisation in 2016, followed by the introduction of GST in 2017, had a crippling effect on the sector. Other factors—the farmers' protests, and a halt on construction activities in NCR due to government orders—were also delaying deliveries. "The outbreak of the Covid-19 pandemic also put a break on construction activities, further lengthening delays," says Modi of Country Group.

While the past has been gloomy, developers and experts are optimistic about the future of the second largest residential market in the country. According to analysts at Knight Frank, while the NCR market does have challenges, its revival is under construction. With a multitude of large-scale infrastructure development projects such as the Noida International Airport in Jewar, a multimodal logistics park along the Yamuna Expressway, and the expansion of the metro link between Noida and Greater Noida under-way, the market is all set for a revival, they emphasise.

So is this the end of woes for real estate firms in the Delhi-NCR? Property developers certainly seem to think so. **BT**

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